

PERFORMANCE IMPROVEMENT PLAN

Title: Performance Improvement Plan			
SOP No.: PIP/Performance Improvement Process/ 02			
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Originated by: Human Resource Department			
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Policy/Document Approver	Executive Director		
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Updated -			

1. **PIP Definition:** PIP is a programme designed to identify areas of improvement, set goals and closely evaluate & monitor performance of an employee who does not meet expected performance Standards.
2. **Objective:** The objective of the programme is to facilitate closure of the gaps in employee's performance as per expected performance standards. And to support low performers come up to learning curves through constructive discussion & implementation of structured improvement plan
3. **Scope:** Applicable to all on roll full time and off roll employees.
4. **Duration of PIP:** Can be minimum 30 days up to maximum 60 days (depending upon CXO's/BU Heads)
5. **Identifying Performance Issues**
 - Performance issues can be identified through regular performance reviews (Half-yearly) or during the probation period (30, 60, 90 days).
 - A PIP can be initiated at any time during an employee's tenure if poor performance is observed.
 - Employees with performance ratings "2" or below "2" will be considered for a PIP.
 - Performance Issue Trigger Points:
 - Consistent performance issues.
 - Frequent complaints received from the customers (internal OR external).
 - Frequent absent from work without prior notice, thereby resulting in loss of productivity and contributing to low performance.
 - Drastic slippages in the achievement of KPIs
 - Unexplained drop in quality, quantity, timelines, or scope of work being handled.
 - Non-compliance with workplace polices, rules & procedures

- Disruptive & negative behaviour that impacts colleagues

6. Initiating a PIP

- Once performance issues are identified, the reporting manager, in consultation with the HOD and HRBP, will initiate a PIP process through HRMS.
- The PIP will include specific performance goals, actions required, support to be provided, and a timeline for improvement (typically 30, 45, or 60 days).

Before putting an employee on a PIP, it is important to give the employee one written/formal warning to improve performance and the documented warning should be shared by reporting manager with HRBP (Applicable for Behavioural traits only)

7. Procedure:

- Employee identified as a non-performer (through probation or performance reviews) will first be guided, coached and mentored by the Reporting Manager and HOD and put on a structured Performance Improvement Plan (PIP).
- HRBP will initiate a meeting between reporting manager and employee in which, the employee will be informed of performance gaps, required improvements, and the PIP process, including expected outcomes and available support.
- During this period, the employee will be given a chance to improve their performance.
- During the PIP, the Reporting Manager and HOD will define measurable parameters for improvement in consultation with the Functional Head and inform the HRBP.
- The employee is informed that continued underperformance during PIP may result in termination of employment.
- The employee will be considered on PIP cum notice period during this phase.
- Upon completion of the PIP process within the defined timeline, review feedback will be provided, and the final decision will be communicated to the employee.

8. Review Process:

- Regular review discussions (weekly, fortnightly, or monthly) will be scheduled between the Reporting Manager and the employee.
- Feedback should be documented.
- At the end of the PIP duration, the Reporting Manager and Functional Head, in consultation with HRBP, will provide final feedback.

9. Outcomes of PIP:

- At the end of the PIP, a decision will be made based on the employee's performance during the plan:
- **If Performance Improves:** The PIP will be closed in consultation with the HRBP, and a formal Closure Letter will be issued to the employee.
- **If Performance Does Not Improve:** The Reporting Manager, Functional Head, and HRBP will decide the next course of action, which may include:
 - a. Assigning alternative tasks/roles aligned with the employee's skills and available opportunities.
 - b. Separation from the organization, with prior approval from the Reporting Manager, Functional Head, and HR Head

Note: No employee can be asked to leave the organization due to performance issues without first completing a structured PIP process with documented reviews. The HRBP must be involved at every stage of the review and discussion process.

Exception: Any exception to this policy requires prior approval from the HR Head.

Disclaimer: The Management's interpretation of this policy will be final and binding. The Management reserves the right to amend or withdraw this policy at its discretion, without prior notice.